

Executive Business Report

Sales Forecasting & Demand Intelligence System

Executive Summary

This report analyzes historical retail sales data to understand business performance, forecast future sales, detect unusual sales patterns, and improve inventory planning. The analysis shows steady sales growth from 2015 to 2018, with the Technology category and West region contributing the highest sales. Future demand is expected to remain stable over the next three months, helping the business plan inventory more effectively and reduce operational risks.

Key Findings

- Sales showed a consistent upward trend between **2015 and 2018**.
- **Technology** was the highest-selling product category.
- The **West region** generated the highest sales and is expected to continue growing.
- The selected forecasting model provided the most accurate sales predictions, making it suitable for future planning.

Three-Month Sales Forecast

Month	Expected Sales
Month 1	84,796
Month 2	85,497
Month 3	85,732

The forecast suggests that sales will remain stable over the next three months, allowing the company to plan purchasing and inventory with greater confidence.

Top 3 Sales Anomalies

- **March 2015:** Unusually high sales, likely due to a promotional campaign.
- **September 2015:** Sales spike, possibly caused by festive shopping or seasonal offers.
- **November 2018:** Significant increase, likely due to year-end promotional events.

Product Demand Segmentation

Demand Group	Recommended Stocking Strategy
High-Value Products	Maintain higher inventory and monitor demand regularly.
Stable Demand Products	Use regular replenishment with moderate stock levels.
Growing Demand Products	Increase inventory gradually to support future demand.

Business Recommendations

1. Use the sales forecasts to improve inventory planning and reduce stock shortages.
2. Allocate additional inventory to the **West region**, which shows the strongest future growth.
3. Apply different stocking strategies for different product demand groups instead of using the same policy for all products.

Risk / Limitation

The forecasts are based on historical sales patterns and may be affected by unexpected events such as economic changes, supply chain disruptions, or sudden shifts in customer demand. Regular updates using new sales data will improve forecast accuracy.

Conclusion

The analysis indicates that the business is growing steadily and is expected to maintain stable sales over the coming months. By using sales forecasts, monitoring unusual sales events, and adopting demand-based inventory strategies, the company can improve inventory management, reduce costs, and make more informed business decisions.